Leaving the Nest

Moving away from home for the first time is a pivotal moment in your life. It is one of the rites of passage to becoming an adult. Whether your first place is a room in a dorm or in a sorority or fraternity, it is still your own. You can decorate it how you please, invite over whom you want, and stock your refrigerator any way you wish. It is up to you.

Independent spending decisions now become an everyday occurrence, but they also involve an incredible amount of financial freedom that most young adults are not prepared to handle. Living at home usually meant that your parents paid for most living expenses. It is a rude awakening when bills start arriving in the mail once you're on your own. Phone bills, utilities, car payments and credit card bills are just some of the new arrivals you'll find in your mailbox.

It is a good idea to do a budget prior to moving out so that you can anticipate your expenses. If you can't do a budget in advance, it should be done as soon as you start living independently. Estimate your monthly income from all sources (student loans, scholarships, jobs, parent's allowance, and gifts). This should be income left over once you have paid your tuition-related expenses. Then multiply by the percentages given for each expense category to figure out how much you should budget for each expense. If you determine that you can afford a maximum of $200 for food per month, then you need to spend within that limit. That may mean not bringing your dates to expensive restaurants on a regular basis (especially if you are paying for two). Try to live within the limits of each category in order to live within your means.

Income

Monthly net income (after taxes and other deductions)
$____________